



Swiggy

Case Study: New users leave before placing their first order.



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Overview

Role: Appointed as product consultant to diagnose why new users leave before placing their first order

Objectives :

1. Understand user behavior
2. Identify friction points
3. Improve user experience
4. Increase user activation



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About Company

Swiggy is a leading Indian hyperlocal commerce and on-demand convenience platform founded in **August 2014** by Sriharsha Majety, Nandan Reddy, and Rahul Jaimini. Headquartered in **Bengaluru**, the company operates in over **600 cities** across India, delivering food from hundreds of thousands of restaurants alongside ultra-fast groceries and daily essentials through its quick-commerce service, **Swiggy Instamart**. Over the years, the platform has expanded its ecosystem to include **Swiggy Dineout** for restaurant reservations, **Swiggy Genie** for package courier services, and **Swiggy One**, a unified membership program. Led by Group CEO Sriharsha Majety, Swiggy transitioned into a publicly listed entity on the Indian stock exchanges in **late 2024**.



The Competitors

Zomato and the combination of Direct QSRs (Quick Service Restaurants) & Cloud Kitchens represent two distinct competitive fronts for Swiggy, squeezing its market share from both the platform level and the supply side. **Zomato** acts as Swiggy's primary external marketplace rival, leveraging its **Zomato Gold**

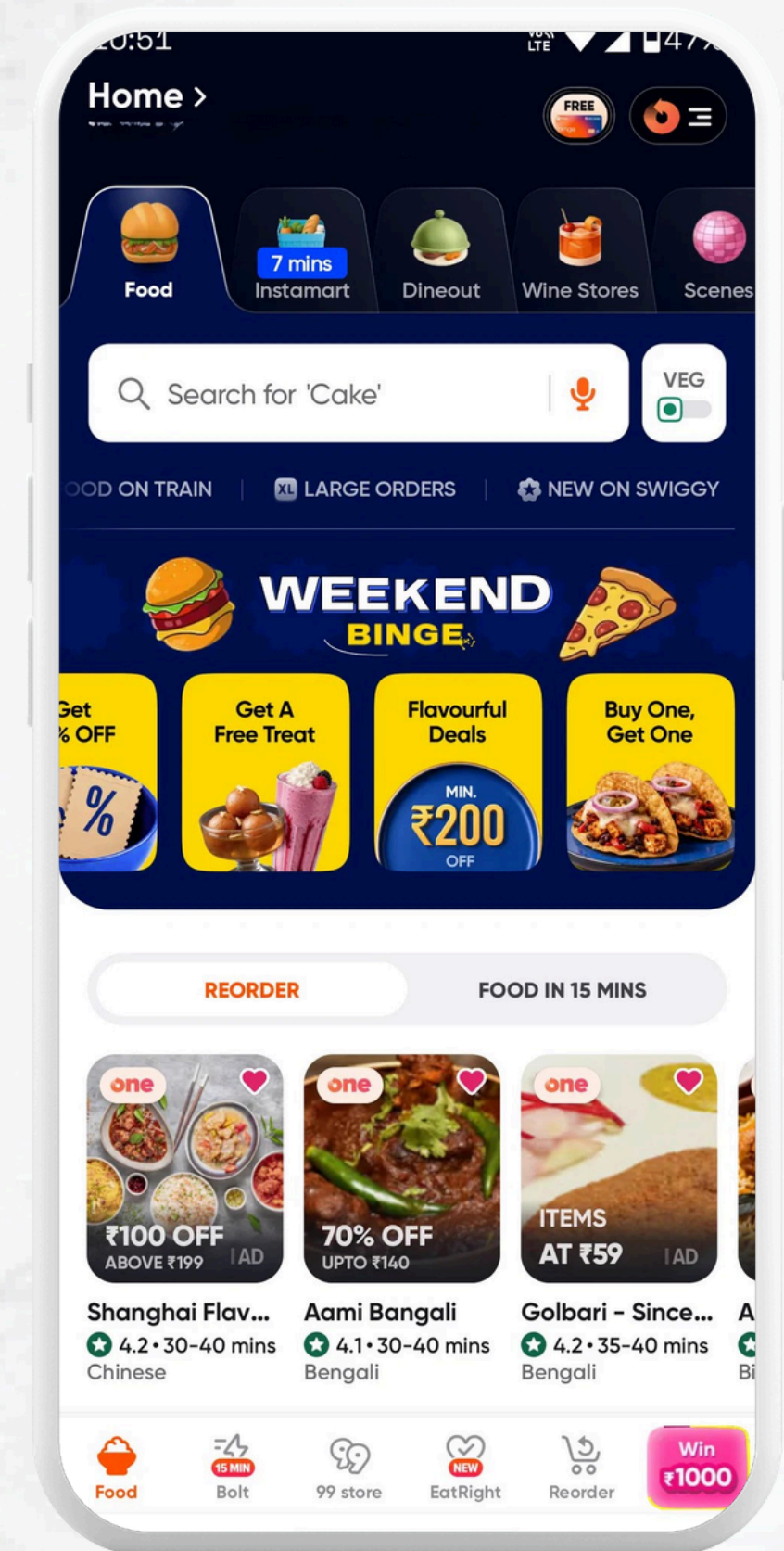
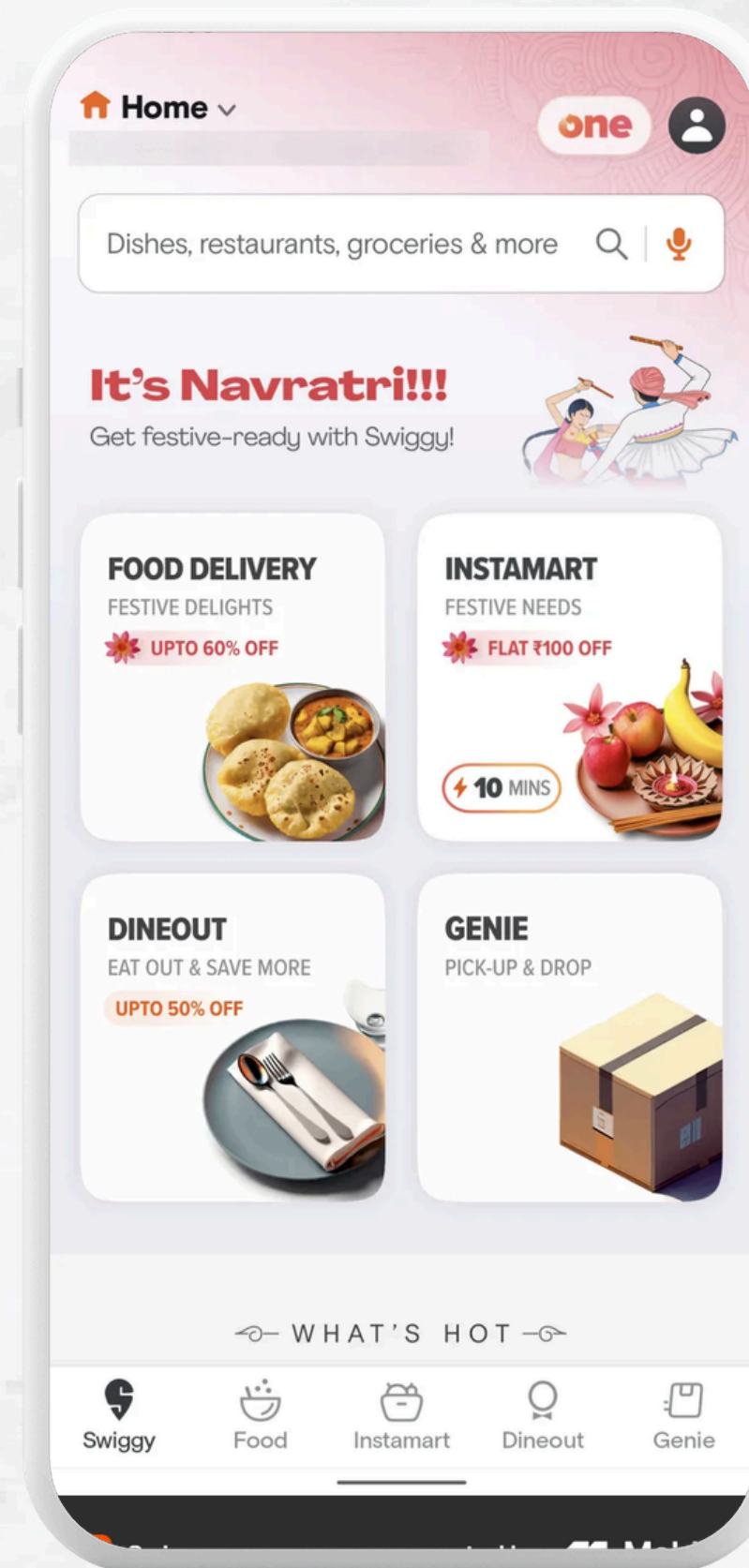


The Problem

When a new user opens a food-delivery app, they have no previous experience with the platform. They need to quickly understand:

- Where should I order from ?
- What should I order?
- How much will it actually cost?
- When will it arrive?
- Can I trust the experience?

Right now, several parts of this journey can create uncertainty.



Research

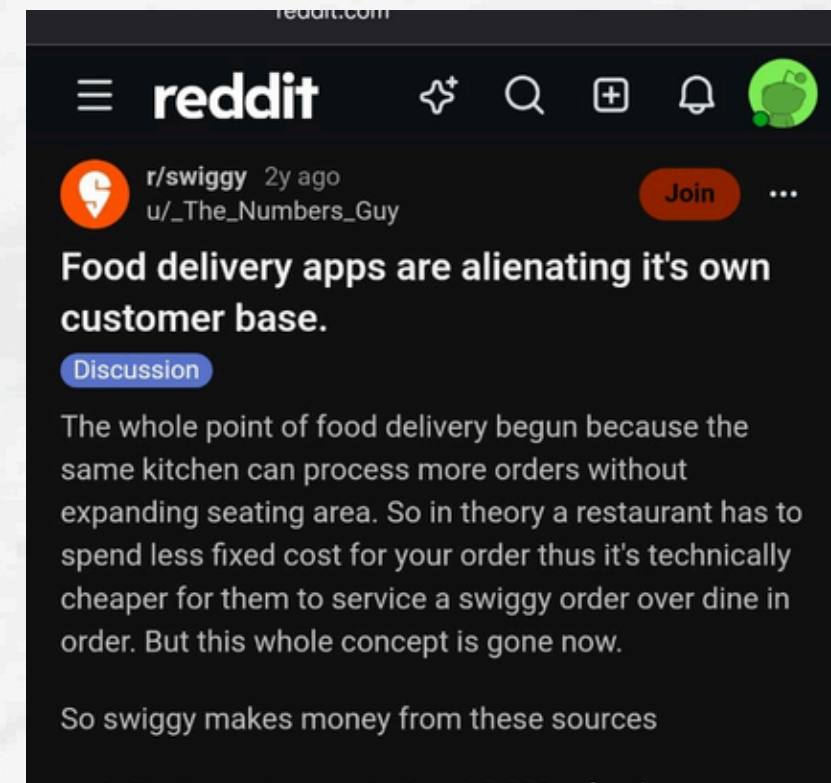
User feedback across Reddit and social media highlights growing concerns around price transparency in food delivery. Users report frustration when attractive discounts and item prices are followed by additional charges such as packaging, delivery, platform fees, taxes, and other applicable fees. This creates a mismatch between the expected and final price, leading to price shock, lower perceived value, and reduced trust in the platform

Instagram

Twitter

Reddit

Facebook



#BoycottSwiggy
SayNoToSwiggyLoot

- ✗ No fixed food price
 - ✗ Unbearable food quality
 - ✗ GST loot above 21%
 - ✗ Robotic sorry with ₹25/₹50 coupons
- No accountability. No respect for customers.

Swiggy has become a platform-not for food delivery, but for 'daylight robbery, What should be a ₹120 — meal becomes ₹200+ with hidden charges, random taxes," and delivery fees. And the food? Often



PAIN POINTS



Too many steps before ordering

Users may have to sign up, verify their number, enable location, set an address, etc. before experiencing the product



Forced location permission

A new user may not want to immediately grant location access or may want to manually enter an address.



Information overload

Offers, banners, restaurants, categories and pop-ups can make the first screen overwhelming



Difficulty choosing a restaurant

A first-time user doesn't know which restaurants are reliable, popular or suitable for their preferences.



Unclear pricing

The user sees an attractive food/item price but may not know the actual payable amount until late

User Journey

Current

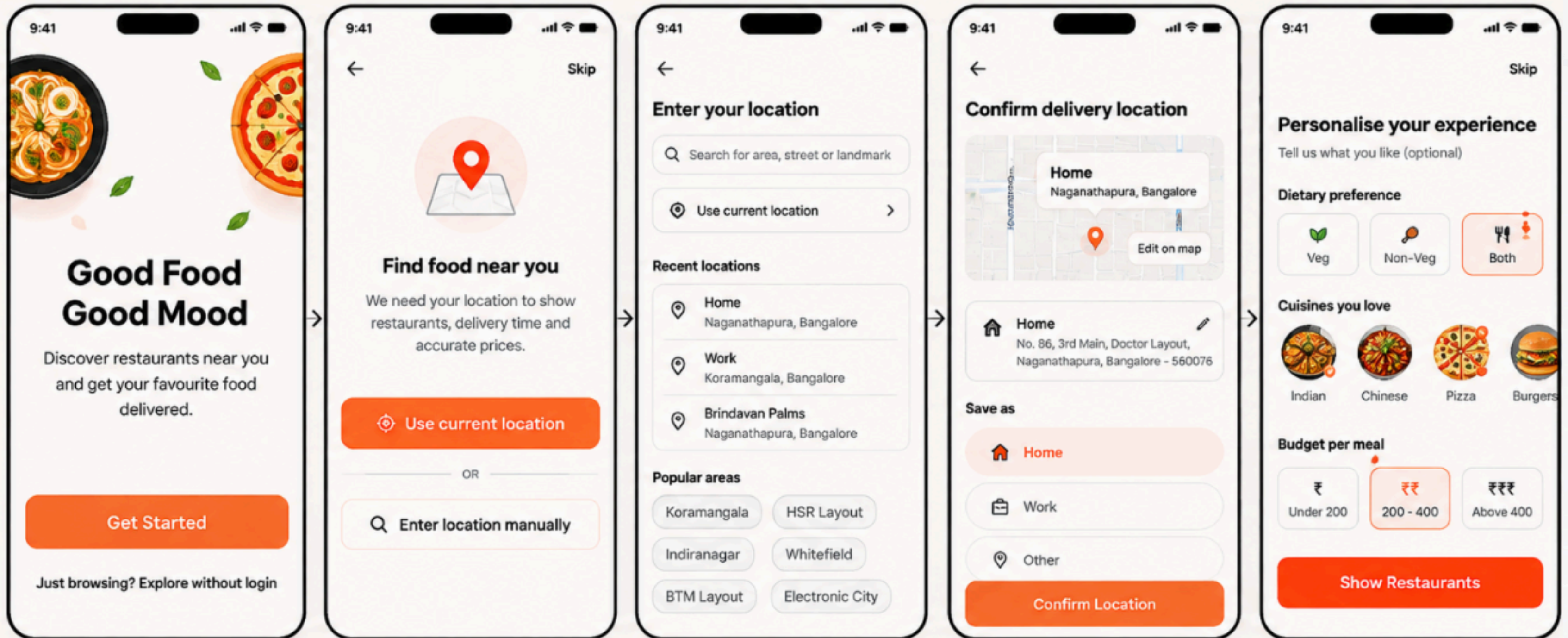


New



Wireframe 1: Simplified Onboarding with Flexible Location Selection

Fewer steps, more flexibility, and quick access to explore restaurants.



1 Welcome

- Clear value proposition with option to explore without immediate sign-up.

2 Location Permission

- Clear explanation of why location is needed.
- Give both options: use current location or enter manually.

3 Location Search

- Easy search with suggestions.
- Recent and popular locations for quick selection.
- No forced GPS permission.

4 Confirm & Save

- Show selected location on map for clarity.
- Option to save as Home / Work / Other.

5 Quick Preferences (Optional)

- Lightweight personalization.
- Helps in better recommendations after first order.
- Can be skipped.

Prioritization

Feature	Reach	Impact	Confidence	Effort	RICE Score	Priority
Transparent Cart	85K	2	90%	3	51	🔴 P1
Upfront Pricing	90K	3	85%	6	38.25	🔴 P1
Simplified Onboarding	80K	2	90%	4	36	🔴 P1
Flexible Location	60K	1	85%	2	25.5	🟡 P2
Simplified Checkout	75K	2	80%	5	24	🟡 P2
Order Confirmation	60K	0.5	90%	2	13.5	🟢 P3
Personalized Discovery	50K	1	70%	8	4.38	🟢 P3

Key Product Metrics



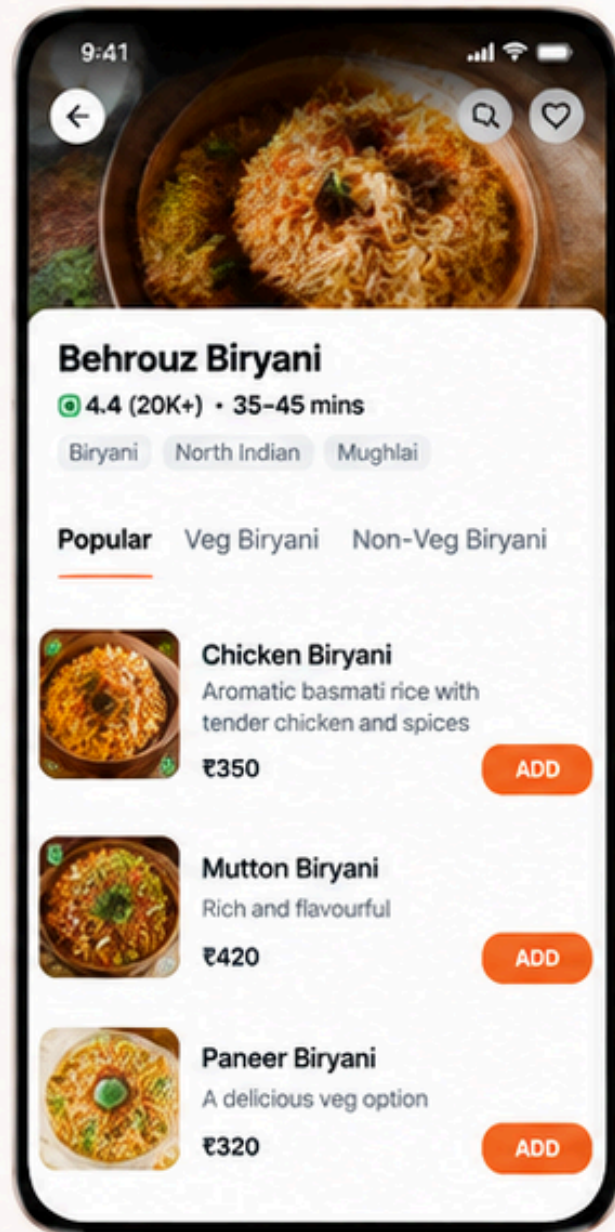
Overall Metrics	
<i>First-Order Conversion Rate</i>	Percentage of new users who place their first order within 3 sessions
First-Time Onboarding	
<i>Onboarding Completion Rate</i>	Percentage of new users who complete the onboarding flow
<i>Location Completion Rate</i>	Percentage of new users who successfully complete location setup
<i>Time to First Browse</i>	Time taken from app open to reaching the restaurant discovery screen
Discovery & Cart	
<i>Restaurant → Cart Conversion</i>	Percentage of users who add an item after viewing a restaurant
<i>Price Surprise Rate</i>	Percentage of users who report the final price was unexpectedly higher
<i>Cart → Checkout Conversion</i>	Percentage of cart users who proceed to checkout
Checkout & Trust	
<i>Cart → Order Conversion</i>	Percentage of users who successfully complete the first order
<i>Checkout Abandonment Rate</i>	Percentage of users who leave checkout without placing the order
Experience & Retention	
<i>Price Clarity Score</i>	Average 1–5 rating of how clearly users understood the final price
<i>CSAT</i>	Customer satisfaction after completing the first order
<i>Day-7 Retention</i>	Percentage of new users who return within 7 days

A/B Testing

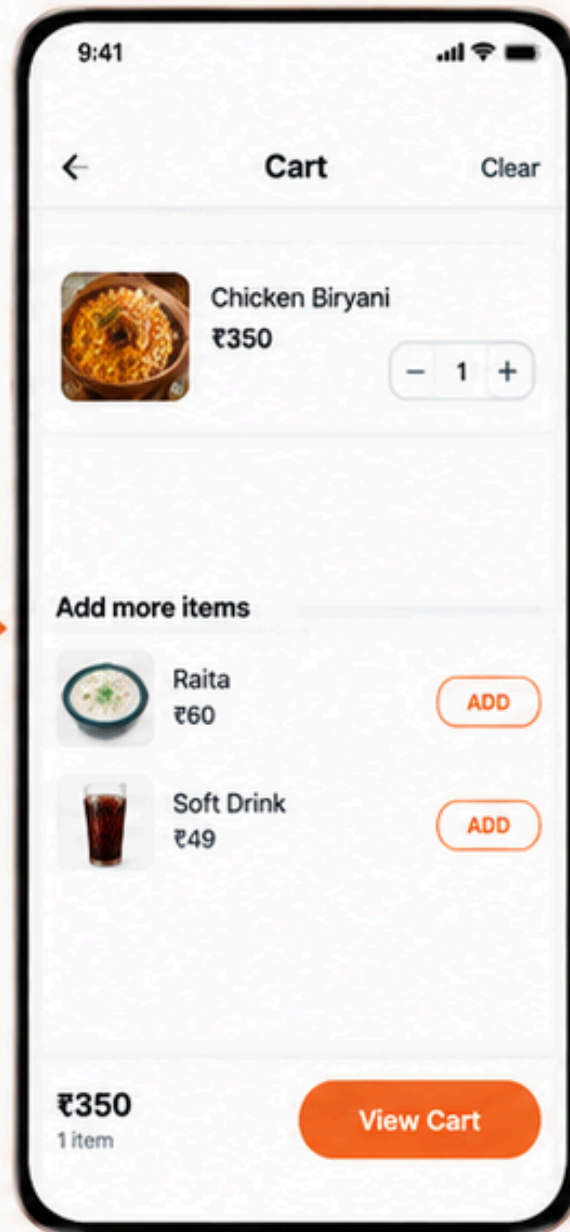
Control A – Current Experience

Price details are shown mainly at checkout, leading to price uncertainty.

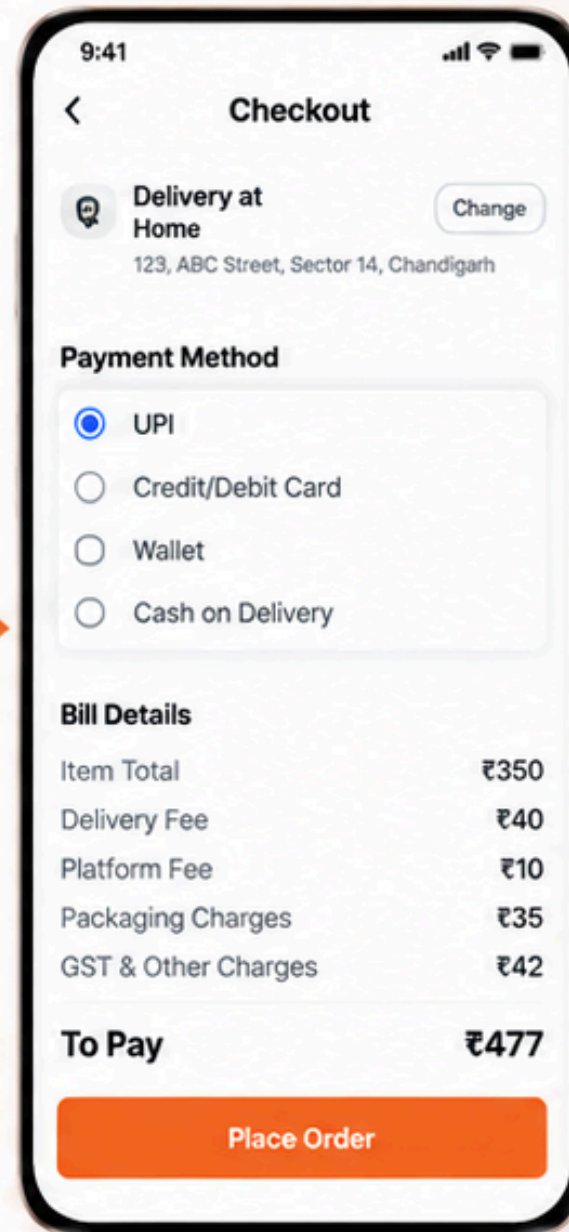
1. Restaurant Menu



2. Cart



3. Checkout



Shows only item price.
No information about
additional charges.

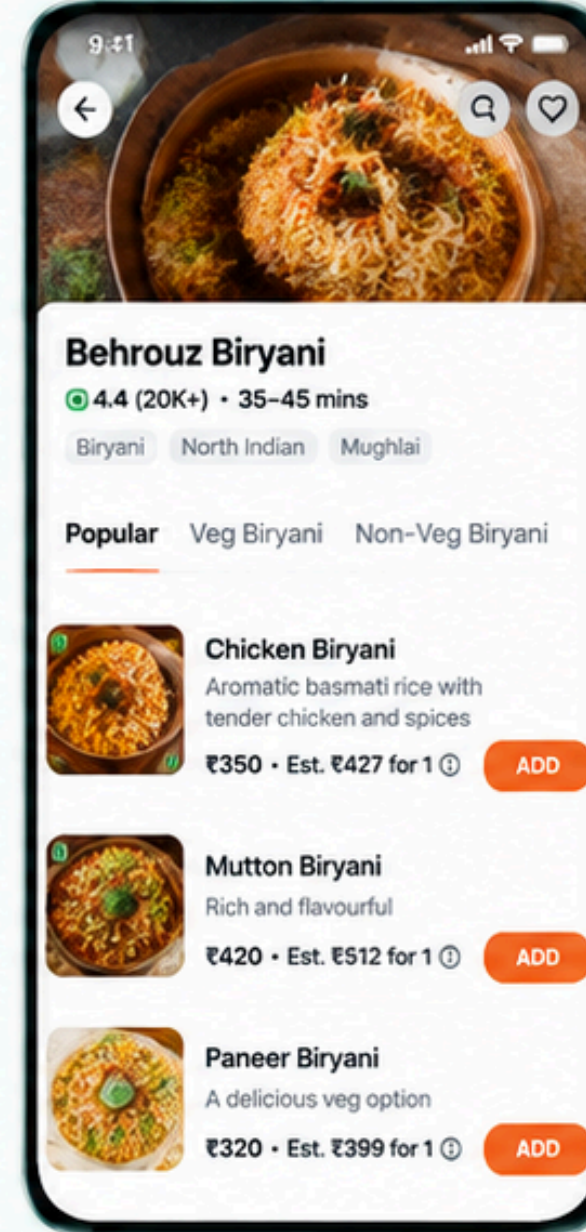
Cart shows only item price.
User is unaware of total cost
at this stage.

All charges are shown only
at checkout, which can lead
to price shock and drop-offs.

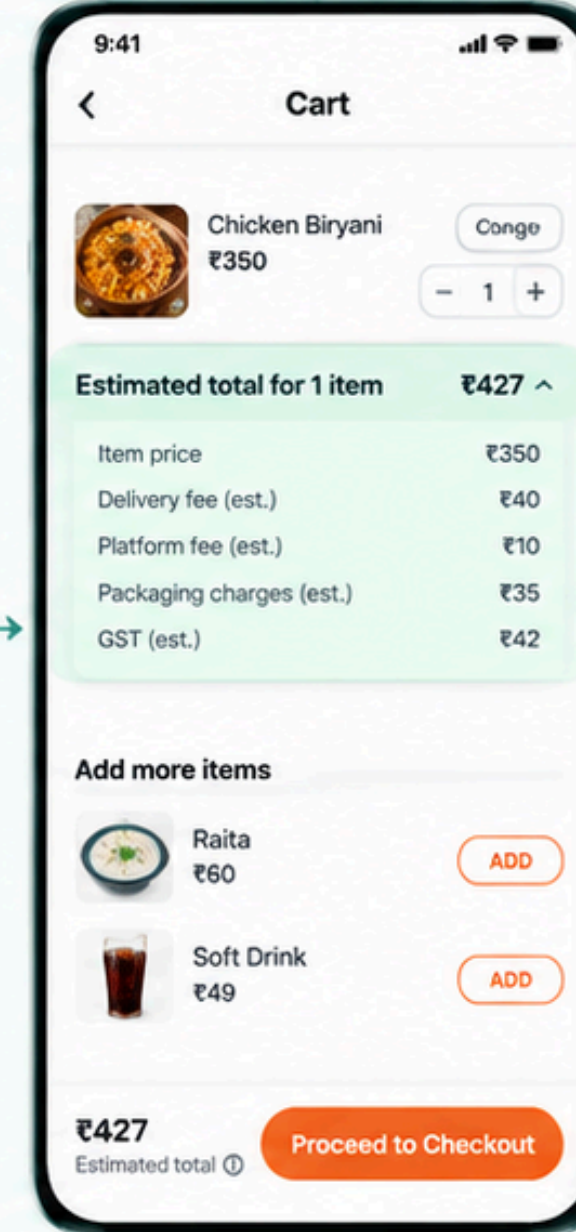
Variant B – New Experience (Upfront Price Transparency)

Estimated total price is shown earlier, reducing uncertainty and building trust.

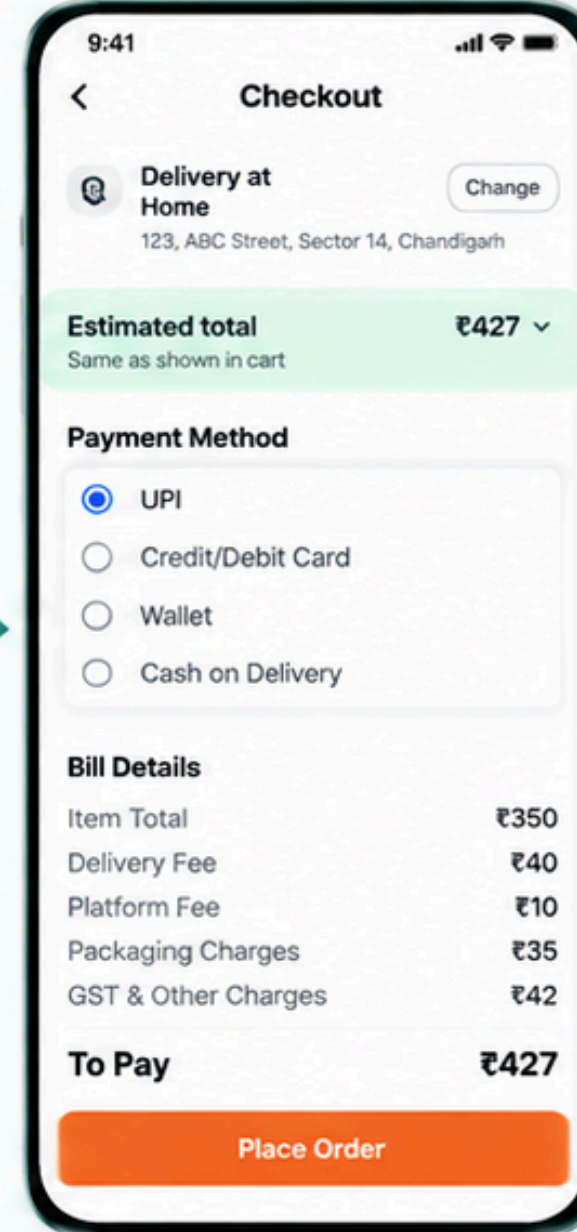
1. Restaurant Menu



2. Cart (Estimated Total)



3. Checkout (Transparent)



Shows item price + estimated
total cost (including typical
charges) before adding to cart.

Users can see the estimated
total cost in the cart itself,
before proceeding to checkout.

Transparent breakdown
reinforces the same total cost,
building trust and confidence.